# 5 HIDDEN EMI TRUTHS

*Your bank doesn't want you to know these*

A 15-year banker reveals what they didn't tell you

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## Why I'm Sharing This

I spent 15 years inside a Public Sector Bank as a manager. I've approved thousands of home loans, sat in countless review meetings, and seen which customers paid **lakhs more** than they needed to — and which ones paid less.

The difference is never about being smart. It's about **knowing 5 things** banks don't advertise. Here they are — read this once, save lakhs over your loan tenure.

## 01 Your EMI is mostly interest in early years

In year 1 of a 20-year home loan at 8.5%, only **16% of your EMI** reduces principal. The other 84% goes to interest. By year 10, that flips: 65% interest, 35% principal. By year 15, principal becomes 50%+.

> **Why this matters:** Prepaying in years 1-7 saves dramatically more than prepaying later. ■1 lakh prepaid in year 2 saves you ~■3.5 lakh over the loan life. The same ■1 lakh prepaid in year 15 saves only ~■40,000.

**What to do:** Make every spare rupee work harder by prepaying EARLY, not waiting "until you have a comfortable amount."

## 02 MCLR resets aren't monthly — they're every 3, 6, or 12 months

Your bank advertises "your loan is linked to MCLR." But MCLR doesn't flow to your EMI immediately. It resets **only at fixed intervals** — usually every 6 or 12 months. So when RBI cuts the Repo Rate today, you might wait 11 months before your EMI drops.

> **The trap:** Banks set this RESET DATE at loan origination. Many borrowers don't even know what theirs is. When rates rise, banks reset within 3 months. When rates fall, the reset is delayed.

**What to do:** Check your loan agreement RIGHT NOW. Find your "MCLR Reset Date" or "Repricing Frequency." If it's 12 months and rates just fell — call your bank and request a switch to External Benchmark Lending Rate (EBLR), which resets monthly.

## 03 Switching from MCLR to EBLR can save you ■2-5 lakh

Since October 2019, RBI mandated banks to offer External Benchmark Lending Rate (EBLR) — typically linked to RBI Repo Rate directly. EBLR resets **every 3 months** (some monthly), passing rate changes faster.

**What banks don't advertise:** If you took your loan before Oct 2019, you're likely still on MCLR. Switching to EBLR is your right — banks must allow it. The conversion fee is typically ■5,000-15,000, but the savings over remaining tenure are usually ■2-5 lakh.

**What to do:** Calculate your remaining EMI savings under EBLR (your bank can show you). If savings > 10x conversion fee, switch immediately.

## 04 Foreclosure is FREE on floating-rate loans

RBI banned all foreclosure charges and prepayment penalties on **floating-rate home loans** in 2014. Your bank cannot charge you ANYTHING to close your loan early or make partial prepayments.

**What still happens:** Banks try to discourage prepayment with paperwork hassles, slow processing, or by making it sound complex. Some try charging "documentation fees" — which are NOT legal for floating-rate loans.

**What to do:** When prepaying: insist on getting it done same-day. Get the receipt. If they ask for any fee, ask them to show you the RBI circular allowing it (they can't — there isn't one).

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## You can use surplus to reduce TENURE, not EMI

When you make a partial prepayment, your bank usually defaults to **reducing your EMI**. It feels good — your monthly burden drops. But this is mathematically the WORST option.

> **The math:** If you keep EMI same and reduce tenure instead, you save 2-3x more in total interest. On ■50L loan, paying ■5L extra at year 5: reducing EMI saves ■6 lakh in interest. **Reducing tenure** saves ■14 lakh.

**What to do:** On every prepayment, EXPLICITLY tell the bank: "Reduce tenure, not EMI." Get this in writing. Your bank won't volunteer this option — you have to ask.

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**If even ONE of these saves you ■50,000 — share this with someone who has a home loan.**

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